Welcome

Now that we've learned the roles and key terms of an Overhead Should Cost Review (OHSCR), as well as planning and preparing for the on-site visit, it's time to learn how to conduct the review.

Conducting the review is performed by all members of the OHSCR team.



This course will take you approximately ***INSERT TIME**** to complete.

Learning Objectives

Upon successful completion of this module, you will be able to fulfill each of the objectives.

01	02	03	04	05
CLASSIFY	DETERMINE	CLASSIFY	EXPLAIN	DISCUSS
Classify the key elements to consider when analyzing the business base.	Determine the steps needed to analyze indirect costs.	Classify the key factors to analyzing indirect labor.	Explain the goals of examining fringe benefits.	Discuss Information Technology (IT) costs and the factors to review.

06	07	08	09	10	11
ANALYZE	DESCRIBE	IDENTIFY	DETERMINE	DETERMINE	EXPLAIN
Analyze capital expenditures and depreciation.	Describe corporate and home office assessments and allocations.	Identify acceptable forecasts of Independent Research & Development (IR&D) and Bid and Proposal (B&P) Costs.	Determine Other Expense Accounts for review.	Determine other Structured Efficiency Initiatives.	Explain the benefits of reviewing the Cost Estimating Relationships (CERs) during an OHSCR.

Analysis of the Business Base

The OHSCR team has created this video to help you understand the importance of establishing a realistic business base, evaluating allocation bases, and analyzing business base amounts.

During the video, you will be presented with a textbox area to take notes. Use this area to jot down notes and write down your key takeaways.

We will compare notes after you finish watching the video.

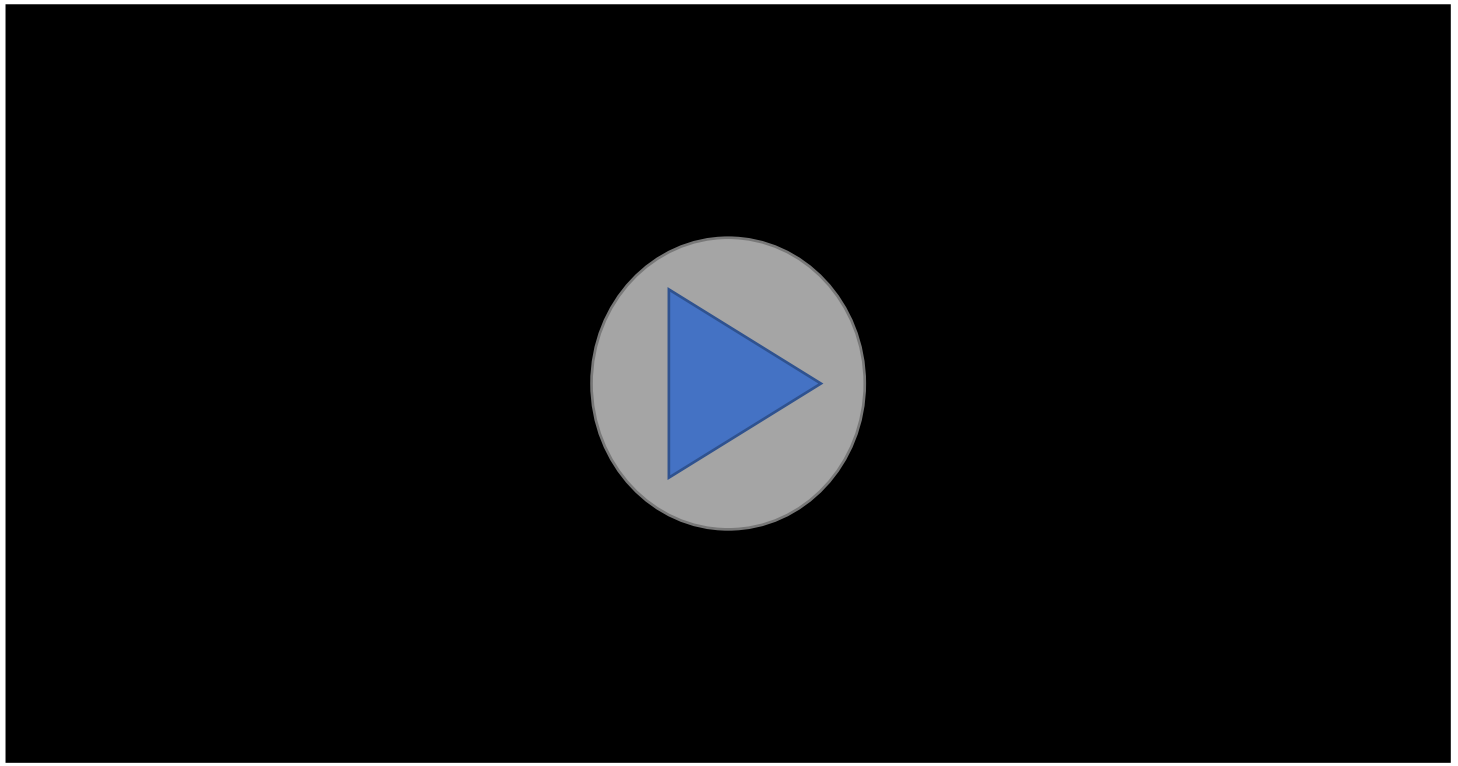


WATCH NOW

Conducting the OHSCR: Overview

Analysis of the Business Base

Conducting the OHSCR: Overview



Type notes here.

Analysis of the Business Base, Cont.



As discussed in the video, a key element in performing an OHSCR, or a Forward Pricing Rate Proposal (FPRP) review, is establishing a realistic business base.

Insight into direct labor and material costs helps with the business base evaluation as the contractor's sales forecast impacts direct labor and direct material costs.

Indirect costs are established to support these direct costs and a reasonable business base drives the level of work that must be supported by an appropriate level of indirect expenses.

Take a look at Shelly's clipboard notes.

Analysis of the Business Base, Cont.



Shelly
Project Lead

NOTE

Sales forecasts are of considerable interest to company competitors, are highly sensitive, generally only provided on a "need to know" basis, and must be protected from disclosure to unauthorized personnel or organizations.

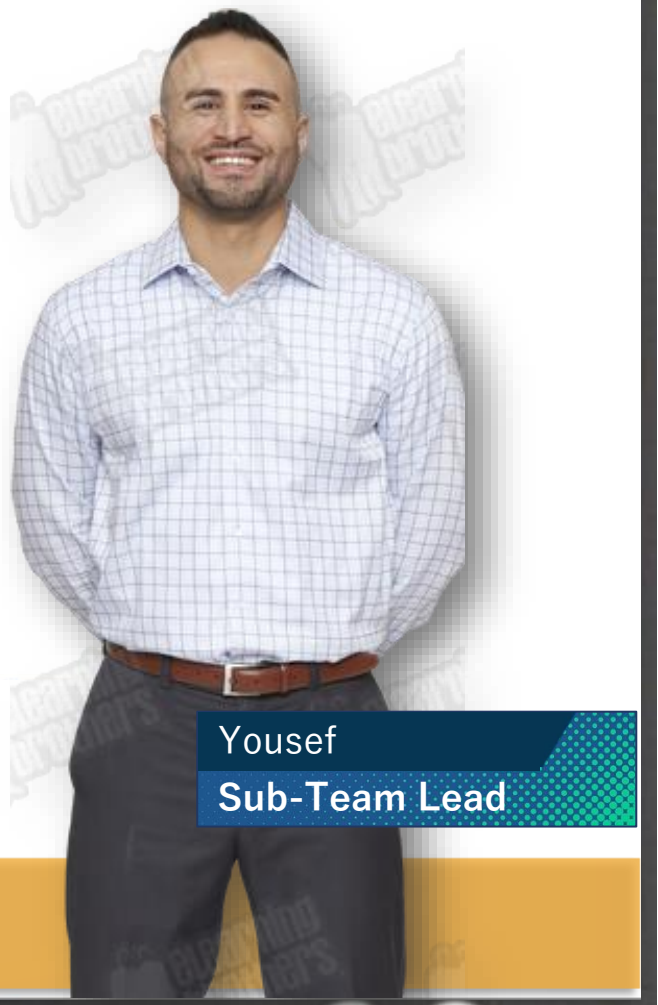
As such, the government may be the only outside entity to have knowledge of the contractor's forecast.

Analysis of the Business Base—FPRPs and Evaluating Sales Forecasts

The OHSCR sub-team should review the contractor's rationale supporting its sales forecast, obtain the long-range business plan, and conduct fact-finding meetings with company business forecasting and planning function personnel.

Some items to consider when analyzing the business base are listed below.

- Forecasting FPRPs
- Evaluating Sales Forecast



Analysis of the Business Base—FPRPs and Evaluating Sales Forecasts

The OHSCR sub-team should review the contractor's rationale supporting its sales forecast, obtain the long-range business plan, and conduct fact-finding meetings with company business forecasting and planning function personnel.

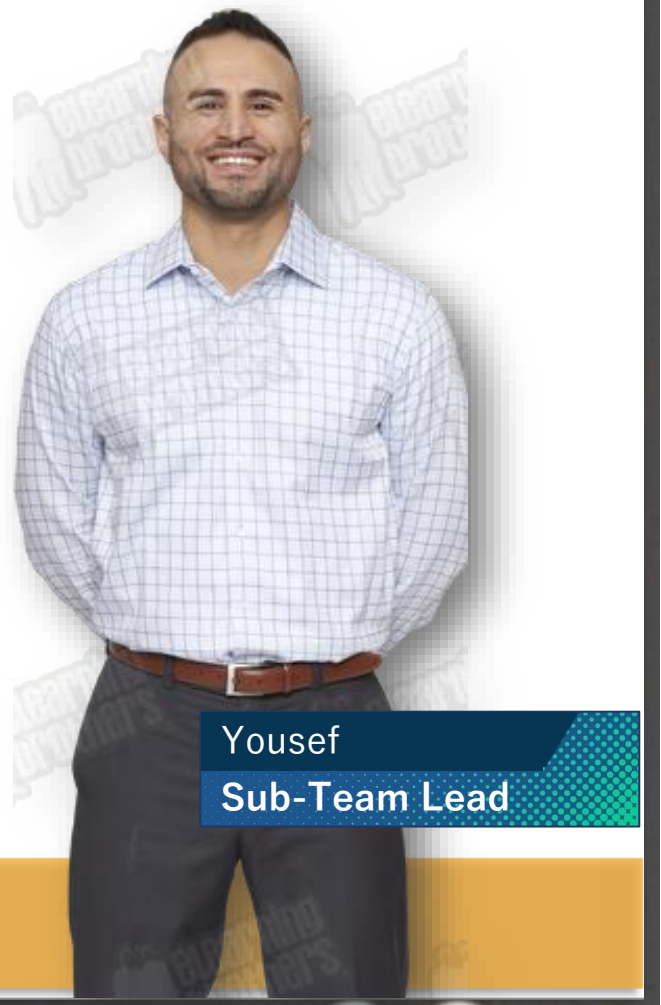
Some items to consider when analyzing the business base are listed below.

Forecasting FPRPs

The FPRP is based on sales forecasted over a number of years. Year 1 is typically supported in detail while "out" years are based on summary projections.

A review of the projections will show planning for such items with additional facilities, redirection of research or marketing efforts, and the pricing of long-term government contracts.

Evaluating Sales Forecast



Analysis of the Business Base—FPRPs and Evaluating Sales Forecasts

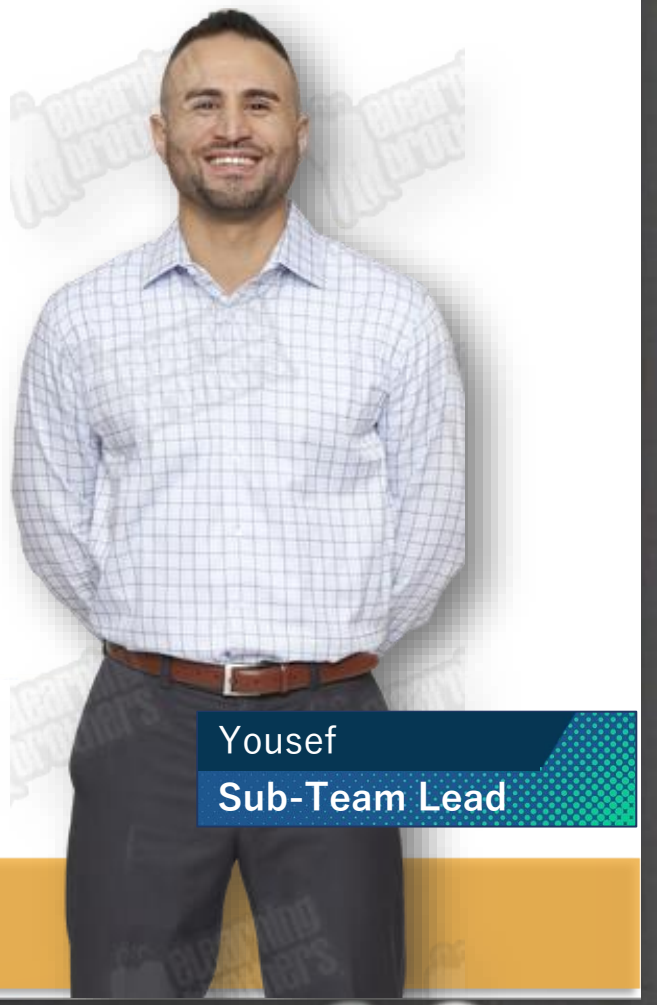
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Forecasting FPRPs

Evaluating Sales Forecast

To evaluate the sales forecast, the sub-team members will classify projected business into different categories such as: backlog, pending or follow-on work, and anticipated future business.



Analysis of the Business Base—Business Base Evaluation

The review of the contractor's firm, business, or backlog will begin the business base evaluation.

Categories to consider when analyzing the business base are presented below.



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Backlog

Pending or Follow-on

Future Business

Other Areas to Consider

Forecasted Rates

Analysis of the Business Base—Business Base Evaluation

Backlog

All unfilled sales orders on hand that are either firm or pending equal total backlog.

Those firm backlog orders consist of already funded government and commercial contracts and purchase orders.

In addition, orders already in production and remaining options or orders that have been funded for production should be reflected in the business volume forecast as firm.



Yousef
Sub-Team Lead

Backlog | Pending or Follow-on | Future Business | Other Areas to Consider | Forecasted Rates

Analysis of the Business Base—Business Base Evaluation

Pending or Follow-on

‘Pending’ backlog will consist of sales subject to further action by the customer.

This category includes the unfunded portions of government contracts; contracts negotiated but not yet signed; government and commercial options; and contracts subject to contingencies.

Although these sales are not ‘firm’ backlog, the company expects the work to be funded and performed.



Yousef
(Sub-Team Member)

The contracts discussed here will be accounted for in the business volume forecast as ‘pending’ or ‘follow-on’ since they involve work in the future.

Analysis of the Business Base—Business Base Evaluation

Future Business

‘Anticipated volume’ includes business the company expects to perform. Also included are sales that are expected to result from outstanding bids and quotations.

The contractor may use statistics to determine the percentage of “wins” likely to occur against a known number of bids and proposals submitted while also using history to forecast sales from undefined sources.



Yousef
(Sub-Team Member)

Example: Spare parts (total requirements of specific programs or products can be reasonably calculated even though quantities and types have not yet been identified), or commercial products having a history of continuous sales that fall within this category.

Analysis of the Business Base—Business Base Evaluation

Future Business

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Yousef
(Sub-Team Member)

Future potential business includes major government programs and new commercial products the company hopes to market successfully.

Analysis of the Business Base—Business Base Evaluation

Future Business

‘Anticipated volume’ includes business the company expects to perform. Also included are sales that are expected to result from outstanding bids and quotations.

The contractor may use statistics to determine the percentage of “wins” likely to occur against a known number of bids and proposals submitted while also using history to forecast sales from undefined sources.



Yousef
(Sub-Team Member)

Potential volume of both government programs and commercial ventures could affect sales forecasts, however, the contractor has no way of knowing whether it will win all or part of the acquisition until the source selection has been completed and announced, or customer acceptance is made.

Backlog
Pending or Follow-on
Future Business
Other Areas to Consider
Forecasted Rates

Analysis of the Business Base—Business Base Evaluation

Future Business

‘Anticipated volume’ includes business the company expects to perform. Also included are sales that are expected to result from outstanding bids and quotations.

The contractor may use statistics to determine the percentage of “wins” likely to occur against a known number of bids and proposals submitted while also using history to forecast sales from undefined sources.



Yousef
(Sub-Team Member)

Therefore, the evaluation of **future potential business** relies on judgment rather than firm data.

The analysis of past forecasts versus actuals can help to identify areas of over or under forecasts as well as other areas of risk that might merit additional focus.

Analysis of the Business Base—Business Base Evaluation

Other Areas to Consider

Other considerations possibly influencing the contractor sales forecast include the economic and market forecasts of experts in those fields, material published by the government or industry associations, opinions of salespersons, company policies and objectives, and the expected influence of marketing or advertising efforts causing changes from the sales patterns of prior years.



Yousef
(Sub-Team Member)

The subjective factors mentioned should be considered when it appears there may be a bearing on significant management decisions concerning production plans and future contract awards.

Backlog ✓
Pending or Follow-on ✓
Future Business ✓
Other Areas to Consider
Forecasted Rates

Analysis of the Business Base—Business Base Evaluation

Forecasted Rates

The contractor must translate current experience into reasonable probabilities for the future to estimate its overhead rate forecasts for more than one year.

When the sub-team evaluates the business base projections for each year covered by the FPRP, all evidence must be weighed.

The estimating system cannot be expected to produce absolute accuracy, however, the estimate for each year should be supported by logic and reasonable documentation.



Yousef
(Sub-Team Member)



Shelly (Project Lead)

The contractor should have data available on planned production from program cost and schedule reports.

Any proposed changes in those programs are factors for consideration.

Backlog ✓ | Pending or Follow-on ✓ | Future Business ✓ | Other Areas to Consider ✓ | Forecasted Rates

Analysis of the Business Base—Business Base Evaluation

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Yousef
(Sub-Team Member)



Shelly (Project Lead)

The review team should contact government program managers and cognizant Administrative Contracting Officers (ACOs) for advice on how their programs will impact the production estimate and their opinions on contractor program forecasts.

Backlog ✓ | Pending or Follow-on ✓ | Future Business ✓ | Other Areas to Consider ✓ | Forecasted Rates

Analysis of the Business Base—Business Base Evaluation

Forecasted Rates

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Yousef
(Sub-Team Member)

Program offices can provide valuable information on follow-on buys, major modifications, foreign military sales, source selection actions, Research and Development (R&D) contracts, and spare parts buys.



Shelly (Project Lead)

Backlog ✓ | Pending or Follow-on ✓ | Future Business ✓ | Other Areas to Consider ✓ | Forecasted Rates

Analysis of the Business Base—Business Base Evaluation

Forecasted Rates

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Yousef
(Sub-Team Member)



Shelly (Project Lead)

The basis for the contractor's production plan, and thus its incurred operating costs, is the contractor's sales forecast.

Backlog ✓ | Pending or Follow-on ✓ | Future Business ✓ | Other Areas to Consider ✓ | Forecasted Rates

Analysis of the Business Base—Business Base Evaluation

Forecasted Rates

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Yousef
(Sub-Team Member)



Shelly (Project Lead)

The review team should determine whether the contractor used all available evidence to make the forecast. Or if they find the method used to be questionable, they should address any issues with the contractor.

Backlog
Pending or Follow-on
Future Business
Other Areas to Consider
Forecasted Rates

Analysis of the Business Base—Business Base Evaluation

Forecasted Rates

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Yousef
(Sub-Team Member)



Shelly (Project Lead)

Consideration should be given to contractor history that tracks the accuracy of prior period forecasts when compared to actuals, if available.

Backlog ✓ | Pending or Follow-on ✓ | Future Business ✓ | Other Areas to Consider ✓ | Forecasted Rates

USER INSTRUCTIONS: Select each team member and the dots associated with the speech bubble to learn more.

Analysis of the Business Base—Business Base Evaluation

Forecasted Rates

The contractor must translate current experience into reasonable probabilities for the future to estimate its overhead rate forecasts for more than one year.

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Yousef
(Sub-Team Member)



Shelly (Project Lead)

If prior estimates vary by significant amounts, the review team should work with the contractor to improve its forecasting techniques. The contractor should be asked to explain the forecasting irregularities noted in the historical data.

Backlog
Pending or Follow-on
Future Business
Other Areas to Consider
Forecasted Rates

Analysis of the Business Base—Business Base Evaluation

Forecasted Rates

The contractor must translate current experience into reasonable probabilities for the future to estimate its overhead rate forecasts for more than one year.

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Yousef
(Sub-Team Member)



Shelly (Project Lead)

Contractors are often conservative in forecasting the business base for future years. A much higher percentage of the current year base of the FPRP is already on contract and funded.

Backlog ✓ | Pending or Follow-on ✓ | Future Business ✓ | Other Areas to Consider ✓ | Forecasted Rates

Analysis of the Business Base—Business Base Evaluation

Forecasted Rates

The contractor must translate current experience into reasonable probabilities for the future to estimate its overhead rate forecasts for more than one year.

When the sub-team evaluates the business base projections for each year covered by the FPRP, all evidence must be weighed.

The estimating system cannot be expected to produce absolute accuracy, however, the estimate for each year should be supported by logic and reasonable documentation.



Yousef
(Sub-Team Member)



Shelly (Project Lead)

However, for out years 3, 4, and 5, increased percentages of the base are for potential business as opposed to firm, pending, or anticipated.

Contractors are reluctant to include as much potential business in the outer year bases as received historically by the company.

Backlog ✓
Pending or Follow-on ✓
Future Business ✓
Other Areas to Consider ✓
Forecasted Rates

Analysis of the Business Base—Business Base Evaluation

Forecasted Rates

The contractor must translate current experience into reasonable probabilities for the future to estimate its overhead rate forecasts for more than one year.

When the sub-team evaluates the business base projections for each year covered by the FPRP, all evidence must be weighed.

The estimating system cannot be expected to produce absolute accuracy, however, the estimate for each year should be supported by logic and reasonable documentation.



Yousef
(Sub-Team Member)

As a result, bases in the out years are likely underestimated and overhead rates are overstated.



Shelly (Project Lead)

Backlog ✓ | Pending or Follow-on ✓ | Future Business ✓ | Other Areas to Consider ✓ | Forecasted Rates

Knowledge Review 1

Read the question then choose the appropriate answer.

The OHSCR sub-team should review the contractor's rationale supporting its sales forecast, obtain the long-range business plan, and conduct _____ meetings with company business forecasting and planning function personnel.

- Sub-team ✗
- Introduction ✗
- Debriefing ✗
- Fact-finding ✓



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Knowledge Review 2

Read the question then choose the appropriate answer.

What are some items to consider when analyzing the business base?

- Forecasting FPRPs ✓
- Contractor Debriefings ✗
- Evaluating Sales Forecast ✓
- Calculating Overhead Costs ✗



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Knowledge Review 3

Read the question then choose the appropriate answer.

In addition to government program managers, who should the review team contact for advice on how their programs will impact the production estimate and their opinions on contractor program forecasts.



Analysis of Base Selection (Direct Labor and Material)



Justification for the reevaluation of the bases, even if suitable in the past under previously existing conditions, may result from differences noted between the contractor's work and that of other companies, or changes in the company's work methods.

The cognizant Defense Contract Audit Agency (DCAA) office and Divisional Administrative Contracting Officer (DACO) should be contacted to ascertain concerns about allocation bases or the propriety of how the contractor's indirect cost base allocates among government contracts and commercial business.



As the DCAA Auditor, I can provide insight into any concerns regarding the allocation bases.

Knowledge Review

Read the question then choose the appropriate answer.

Why are contractors reluctant to include as much potential business in the outer year bases as received historically by the company? They do not want to:

- Overestimate, because overstated overhead rates result in a higher contract price. ✗
- Underestimate, because underestimated overhead rates result in a lower contract price. ✗
- Underestimate, because overstated overhead rates result in a higher contract price. ✗
- Overestimate, because understated overhead rates result in a lower contract price. ✓

Check Answer

